

	Moody's	Standard & Poor's	Fitch
Investment Grade			
Prime	Aaa	AAA	AAA
Excellent	Aa	AA	AA
Upper medium	A	A	A
Lower medium	Baa	BBB	BBB
Non-Investment Grade			
Speculative	Ba	BB	BB
Very speculative	B, Caa, Ca, C	B, CCC, CC, C	B, CCC, CC, C
Default		D	DDD, DD, D

At the bottom of the risk ladder are high-yield corporate bonds and non-investment-grade municipal bonds. Companies and municipal bond issuers with below investment-grade debt ratings have questionable ability to repay their obligations. These bonds are also referred to as “junk” bonds because of their speculative nature. They are discussed in more detail later in the chapter.

Credit risk should be thought of as the amount that a bond will fall in value if the rating agencies cut the bond’s rating. For example, if an AA-rated bond is cut to an A rating, the expected return to a new investor must go up to compensate for the lower credit quality, which means that the price of the bond will go down. Thus the amount that a bond will go down in value if the rating is cut is the bond’s credit risk, which can also be thought of as its “downgrade” risk.

[Figure 8-4](#) illustrates the historic yield spread between the highest-rated (Aaa) corporate bonds and lower-medium-rated (Baa) corporate bonds. The spread is calculated by subtracting the Aaa yield from the Baa yield. The credit spread appears to widen when the economy slumps into a recession and narrows when the economy begins to recover.

FIGURE 8-4

Credit Spread between Moody’s Baa Yields and Aaa Yields